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Supreme Court, U.S.
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No. 98-822

IN THE

Supreme Court of The United States

FRIENDS OF THE EARTH, *et al.*,
Petitioners,

v.

LAIDLAW ENVIRONMENTAL SERVICES (TOC), INC.,
Respondent.

On Writ of Certiorari
to the United States Court of Appeals
for the Fourth Circuit

BRIEF FOR PETITIONERS

Bruce J. Terris*
Carolyn Smith Pravlik
Monica Wagner
TERRIS, PRAVLIK & MILLIAN, LLP
1121 12th Street, N.W.
Washington, D.C. 20005
(202) 682-2100

James S. Chandler, Jr.
SOUTH CAROLINA ENVIRONMENTAL LAW PROJECT
P.O. Box 279
Pawleys Island, S.C. 29585
(843) 527-0078

**Counsel of Record* — *Counsel for Petitioners*

6188

QUESTIONS PRESENTED

1. Whether a citizen suit seeking civil penalties under Section 505 of the Clean Water Act is constitutionally moot under *Steel Co. v. Citizens for Better Environment*, 118 S. Ct. 1003 (1998), due to lack of redressability, where plaintiffs had standing at the time of the complaint and have shown continuing injury-in-fact but have not obtained injunctive relief.

2. Whether a citizen suit seeking civil penalties under Section 505 of the Clean Water Act is constitutionally moot under *Steel Co.*, due to lack of redressability, when the district court has rendered a declaratory judgment as to liability and the issue of liability was contested.

3. Whether plaintiffs could not be awarded attorneys' fees or litigation costs because the case was dismissed for mootness, even if the litigation was responsible for bringing the defendant into compliance with the Clean Water Act.

PARTIES TO THE PROCEEDING

The plaintiffs are Friends of the Earth, Citizens Local Environmental Action Network, Inc. ("CLEAN"), and the Sierra Club. The defendant was Laidlaw Environmental Services (TOC), Inc., now Safety-Kleen (Roebuck), Inc.

CORPORATE DISCLOSURE STATEMENT

Each of the plaintiffs is a not-for-profit corporation. None of the plaintiffs has a parent company and, as to each corporation, no publicly held company owns 10% or more of the corporation's stock.

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OPINIONS BELOW

The opinion of the court of appeals was published at 149 F.3d 303 (4th Cir. 1998) and is reprinted in the Appendix to the Petition for a Writ of Certiorari ("Pet. App.") at 1a. The oral standing opinion of the district court was unpublished. Hr'g Tr., June 30, 1993, p. 40. The preclusion opinion of the district court was published at 890 F. Supp. 470 (D.S.C. 1995) and is reprinted at J.A. 84-137. The relief opinion of the district court was published at 956 F. Supp. 588 (D.S.C. 1997) and is reprinted at J.A. 138-197.

JURISDICTION

The judgment of the court of appeals was entered on July 16, 1998 (Pet. App. 3a). The jurisdiction of this Court was invoked under 28 U.S.C. 1254(1) in a Petition filed on November 9, 1998. The Petition was granted on March 1, 1999.

CONSTITUTIONAL AND STATUTORY PROVISIONS INVOLVED

Section 2 of Article III of the United States Constitution is appended hereto. The relevant sections of the Federal Water Pollution Control Act, commonly known as the Clean Water Act, 33 U.S.C. 1365(a), 1365(d), 1365(g), and 1319(d) are set forth at Pet. App. 10a.

STATUTORY BACKGROUND

Congress enacted the Federal Water Pollution Control Act, commonly known as the Clean Water Act, in 1972. The 1972 statute represented a distinct change in federal water pollution control policy. Prior to 1972, the federal water pollution control law "emphasized state enforcement of water quality standards." *Middlesex County Sewerage Auth. v. National Sea Clammers Ass'n*, 453 U.S. 1, 11 (1981).

This system of pollution control led to substantial problems in enforcement because of the difficulty in establishing precise limitations for particular pollutants on the basis of the water quality desired for the receiving bodies of water. *See* S. Rep.

No. 414, 92d Cong., 1st Sess. 8, 12 (1971). The effort to control water pollution using only this method was found to be "inadequate in every vital aspect." S. Rep. No. 414, *supra*, p. 7.

The 1972 legislation "shifted the emphasis to 'direct restrictions on discharges,' and made it 'unlawful for any person to discharge a pollutant without obtaining a permit and complying with its terms'"(citations omitted). *Sea Clammers*, 453 U.S. at 11. The change in both emphasis and method was described in the Senate Report (S. Rep. No. 414, *supra*, p. 42):

> This section [Section 301, now 33 U.S.C. 1311] clearly establishes that the discharge of pollutants is unlawful. Unlike its predecessor program which permitted the discharge of certain amounts of pollutants under the conditions described above, this legislation would clearly establish that no one has the right to pollute – that pollution continues because of technological limits, not because of any inherent right to use the nation's waterways for the purpose of disposing of wastes.

The Act's overall goal of completely eliminating the discharge of all pollutants (33 U.S.C. 1251(a)(1)) was effectuated through Section 301(a) of the Act, 33 U.S.C. 1311(a), which states:

> Except as in compliance with this section and sections 302, 306, 307, 318, 402, and 404 of this Act, the discharge of any pollutant by any person shall be unlawful.

Thus, there is a total prohibition on the discharge of pollutants except pursuant to specific authorization.

Section 402 of the Act provides for the issuance of discharge permits–known as National Pollutant Discharge Elimination System (NPDES) permits. These permits are designed to impose progressively more stringent limitations on the

discharge of pollutants in order to improve the nation's waters. Compliance with an NPDES permit is deemed compliance with Section 301 and allows discharges which would otherwise be unlawful. *See* 33 U.S.C. 1342(k). Conversely, noncompliance with a permit constitutes noncompliance with Section 301 and is a violation of the Act.

Section 402(a)(1), 33 U.S.C. 1342 (a)(1), authorizes the Administrator of EPA or a State, if its permit program has been approved by the Administrator, to issue NPDES permits. The Act requires each NPDES permit to: (a) include discharge limitations; (b) require the permittee to be in compliance with the discharge limitations in the permit; and (c) require the permittee to monitor its discharges as EPA requires and report the results accurately to EPA and the state in discharge monitoring reports ("DMR's"). 33 U.S.C. 1342. Generally, permit holders are required to submit DMR's on a monthly basis to EPA and the state regulatory authority.

The NPDES permitting system also provides for citizen participation in the issuance of permits. Citizens have the opportunity to comment on NPDES permit requirements before they are imposed and to challenge the final permit administratively and judicially. 33 U.S.C. 1342(b)(3), 1369(b); 40 C.F.R. 124.10. Citizen participation is a critical aspect of the NPDES permitting system. *See* 33 U.S.C. 1251(e).

"The[] Act[] contain[s] unusually elaborate enforcement provisions, conferring authority to sue for this purpose both on government officials and private citizens." *Sea Clammers*, 453 U.S. at 13. Section 505(a) of the Act, 33 U.S.C. 1365(a) (Pet. App. 10a), allows any "citizen" to bring suit to enforce any limitation in an NPDES permit. Section 505(g), 33 U.S.C. 1365(g) (Pet. App. 11a), defines citizen as "a person or persons having an interest which is or may be adversely affected." Section 505(a) authorizes the courts to issue injunctive relief and impose civil penalties.

STATEMENT OF THE CASE

Defendant Laidlaw operates a hazardous waste incinerator. 956 F. Supp. at 593 (J.A. 141). As part of its operation, Laidlaw discharges wastewater into the North Tyger River pursuant to an NPDES permit issued by the South Carolina Department of Health and Environmental Control ("DHEC"). *Ibid.* The applicable permit limits the discharge of specified pollutants, including mercury, lead, nickel, arsenic, cadmium, chromium and zinc. *Id.* at 593 (J.A. 141-142). It also requires Laidlaw to monitor its discharge and report the level of pollutants discharged to EPA and DHEC. *Id.* at 593 (J.A. 142). From January 1987 through January 1995, Laidlaw violated its permit limitation for mercury 489 times. 956 F. Supp. at 610, 613-621 (J.A.158, 185-196). Laidlaw also violated its non-mercury metals discharge limitations and its pH limitation 439 times.[1] Pl. Exs. 98-99.[2] In addition, it violated the monitoring requirements of its permit 420 times and the reporting requirements 503 times. 956 F. Supp. at 610 (J.A. 159).

Laidlaw's discharge violations were due to an inadequate treatment system and its failure to control adequately its mercury feed rate, *i.e.*, the amount of mercury in the waste fed into the incinerator. 890 F. Supp. at 478 (J.A. 92). Laidlaw gradually added treatment equipment from 1987 to 1991. *Id.* at 482 (J.A. 102-103). The Lancy system, installed in 1991, corrected most of Laidlaw's non-mercury metals violations. *Id.* at 483 (J.A. 104). However, Laidlaw's mercury violations increased in early 1992. Laidlaw violated its mercury limitation 103 times from January 1992 through May 1992, the

[1] The district court granted Laidlaw's motion for summary judgment on all of its non-mercury discharge violations, since none of those limitations had been violated subsequent to the filing of the complaint. 956 F. Supp. at 592 (J.A. 139-140).

[2] Plaintiffs' Exhibits 98 and 99 were admitted into evidence at volume III, page 5, of the 1993 Trial Transcript (hereafter "1993 Tr.").

period immediately prior to the filing of the complaint, including violations as much as 13 times over its permit limitation. 956 F. Supp. at 619-621 (J.A. 193-195). The increase in violations is explained by Laidlaw's failure to control its mercury feed rate, which it knew was needed to achieve compliance after the installation of the Lancy system. Def. Exs. 54, 105, 144; Pl. Ex. 143; Pl. Ex. 126, figure 1; Stipulation of December 11, 1996, Appendix 1, pp. 16-19.[3]

In July 1992, a month after plaintiffs filed suit, Laidlaw reduced its mercury feed rate and installed new carbon adsorption equipment. 890 F. Supp. at 478, 483 (J.A. 92, 104); Pl. Ex. 126, figure 1; Pl. Ex. 143. In January 1993, Laidlaw installed equipment that aided the performance of the carbon filters in removing mercury. 890 F. Supp. at 483 (J.A. 104). As a result, the number and severity of its mercury violations dropped. 956 F. Supp. at 621 (J.A. 195). Nonetheless, Laidlaw violated the mercury discharge limitation in its permit 13 times after the complaint was filed. *Ibid.*

Mercury is an extremely toxic pollutant. 956 F. Supp. at 601 (J.A. 160). Laidlaw's mercury limitation is a water-quality-based permit limitation.[4] Laidlaw's 489 excessive discharges alone caused the water quality standard for the River to be

[3] Defendant's Exhibits 54, 105 and 144 were admitted into evidence at 1993 Tr., vol. I, p. 40. Plaintiffs' Exhibits 126 and 143 were admitted into evidence at pages 205 and 83, respectively, of the 1995 Trial Transcript (hereafter "1995 Tr.").

[4] Water quality-based permit limitations are designed to ensure that the receiving water meets the ambient water quality standards. *PIRG v. Powell Duffryn Terminals, Inc.*, 720 F. Supp. 1158, 1162 (D.N.J. 1989), aff'd in part and rev'd in part on other grounds, 913 F.2d 64 (3d Cir. 1990). Violation of a water quality-based permit limitation harms the receiving water. *Ibid.*

violated. Pl. Ex. 88, pp. 11-12;[5] 1993 Tr., vol. II, pp.194-195.

Plaintiffs Friends of the Earth, CLEAN and Sierra Club have members who use or refrain from using the waterways affected by Laidlaw's discharge. The members would like to picnic, birdwatch and hike near, boat on, and eat fish from the North Tyger River and downstream waters but either do not do so or are concerned when they do so because of the pollution in the River. They are also concerned about the impact of that pollution on the value of their homes and on their dairy products because cows drink from the River. Curtis Aff., ¶¶ 3-8; 2d Curtis Aff., ¶¶ 2-8; Moore Aff., ¶¶ 3-6; 2d Moore Aff., ¶¶ 3-7; 3d Moore Aff., ¶ 4; McCullough Aff., ¶¶ 9, 10; Sharp Aff., ¶¶ 4-6; Patterson Aff., ¶¶ 3-9; Lee Aff., ¶¶ 4-7; Pruitt Aff., ¶¶ 3-6.[6]

Plaintiffs brought this action on June 12, 1992, under the citizen suit provision of the Clean Water Act, Section 505, 33 U.S.C. 1365 (Pet. App. 10a-11a), to enforce the terms and conditions of Laidlaw's permit. Laidlaw moved to dismiss Friends of the Earth, but not the other plaintiffs, for lack of standing on the ground that its members had not suffered injury-in-fact. On June 30, 1993, the district court orally denied the motion. Hr'g Tr., June 30, 1993, p. 40.

Laidlaw subsequently moved to dismiss under Section 505(b)(1)(B) of the Act, 33 U.S.C. 1365(b)(1)(B), on the ground that the suit was precluded because the State had brought an action in state court against Laidlaw three days before plaintiffs' action was filed. 890 F. Supp. at 474 (J.A. 85). The complaint in the state case had been drafted and filed by Laidlaw's counsel and the filing fee was paid by Laidlaw.

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[5] Plaintiffs' Exhibit 88 was admitted into evidence at 1993 Tr., vol. I, p. 40.

[6] These affidavits are exhibits to Plaintiffs' Brief in Support of Their Motion for Preliminary Injunctive Relief, October 5, 1992, and Plaintiffs' Supplemental Opposition to Defendant's Motion for Summary Judgment as to Plaintiff Friends of the Earth, June 28, 1993.

Id. at 479 (J.A. 94). The complaint was filed at the request of Laidlaw for the purpose of barring plaintiffs' suit. *Id.* at 478 (J.A. 93-94). The district court denied the motion after a seven-day evidentiary hearing on the ground that the state action had not been diligently prosecuted for several reasons, but primarily because the $100,000 penalty did not remove the economic benefit enjoyed by Laidlaw as the result of its delayed compliance. *Id.* at 489-491, 497-499 (J.A. 116-120, 134-136).

On July 31, 1995, the district court began a three-day trial on liability and relief. 956 F. Supp. at 592 (J.A. 140). At the conclusion of the testimony, the district court reserved judgment until a decision was issued in a state administrative proceeding involving a challenge to a change in the mercury limitation in Laidlaw's permit. *Ibid.* As a result, the district court did not issue its decision until January 22, 1997.

The district court found that Laidlaw had violated the mercury limitation in its permit 489 times, including 13 times after the complaint was filed. 956 F. Supp. at 600, 621 (J.A. 158, 195). The court also found that Laidlaw had violated the monitoring requirements in its permit 420 times and the reporting requirements 503 times, including 13 monitoring and 10 reporting violations after the complaint was filed. *Id.* at 600-601 (J.A. 159). The court found that Laidlaw had enjoyed an economic benefit of $1,092,581 from its violation of its permit. *Id.* at 603 (J.A. 165). However, the court concluded that a penalty of $405,800 was an adequate deterrent, when considered together with the attorneys' fees award that Laidlaw would be required to pay plaintiffs and Laidlaw's own litigation expenses. *Id.* at 610-611 (J.A. 181-182). The district court denied plaintiffs' request for injunctive relief because Laidlaw had achieved substantial compliance with its permit. *Id.* at 611 (J.A. 183).

Both sides appealed the district court's decisions. Laidlaw appealed, *inter alia*, on the ground that Friends of the Earth

lacked standing because of its alleged failure to show injury-in-fact. The day before oral argument in the court of appeals, this Court decided *Steel Co. v. Citizens for Better Environment*, 118 S. Ct. 1003 (1998). Plaintiffs filed a motion asking for the opportunity to submit a brief showing that the decision in *Steel Co.* had no application. Laidlaw responded that *Steel Co.* "is largely irrelevant to the standing issue before this Court." Def.-Appellee's Opp. to Pls.' Mot. for Leave to File an Additional Br., March 18, 1998, p. 1. The court of appeals granted plaintiffs' motion and directed the parties to brief the applicability of *Steel Co.* and respond to a series of questions regarding standing and mootness.

In their brief, plaintiffs argued that *Steel Co.* was not applicable to a case involving on-going violations. Instead, plaintiffs argued, the standing and mootness issues raised by the court of appeals were controlled by *Gwaltney of Smithfield, Ltd. v. Chesapeake Bay Foundation*, 484 U.S. 49 (1987).

The court of appeals vacated and remanded with instructions to dismiss on the ground that the case was moot based on this Court's decision in *Steel Co.* 149 F.3d at 307 (Pet. App. 8a-9a). The court of appeals did not consider *Gwaltney* or the distinction between initial standing and mootness and applied the standing analysis in *Steel Co.* to the issue of whether a case has become moot. It assumed "without deciding that Plaintiffs had standing to initiate this action and have proven a continuous injury in fact." *Id.* at 306, n. 3 (Pet. App. 7a, n. 3). It reasoned that "[b]ecause Plaintiffs have not appealed the denial of declaratory and injunctive relief, the only potential relief that may be available to redress their claimed injuries is the civil penalty imposed upon Laidlaw" and "[s]uch penalties * * * cannot redress any injury suffered by a citizen plaintiff." 149 F.3d at 306 (Pet. App. 7a).[2]

[2] Laidlaw suggests that the case is moot because it has shut down its incinerator since the court of appeals issued its decision. Resp. Br. in Opp. to Pet. for Writ of Cert., pp. 1, n. 1 and 10. Plaintiffs have ascertained that Laidlaw has not taken any action to terminate the NPDES permit. Reply Br. in Support of Pet. for Writ of Cert., App. 33a (hereafter "Reply App."). Since Laidlaw's NPDES permit is still in effect, it may discharge in the future whenever it cares to do so.

In November 1998, after the incinerator shut down, Laidlaw filed a proposed order in the state court which was hearing a challenge to Laidlaw's NPDES permit. In that order, Laidlaw asked that issuance of the permit be affirmed and gave no indication that the incinerator would not be operated. Subsequently, on November 23, 1998, the court issued a virtually identical order.

The shut down of the facility, even if it were permanent, would not moot the case. Laidlaw/Safety-Kleen has at least 16 other NPDES permitted facilities. Friends of the Earth and Sierra Club have members who use the waters affected by Laidlaw/Safety-Kleen's discharges from some of these facilities and their use and enjoyment of these waters is adversely affected by illegal discharges from these facilities. *See* Reply App. 33a. The issuance of civil penalties in this case would deter Laidlaw from violating the statute at these other facilities.

In a footnote, the court of appeals also decided that "[p]laintiffs' failure to obtain relief on the merits of their claims precludes any recovery of attorneys' fees or other litigation costs because such an award is available only to a 'prevailing or substantially prevailing party.'" 149 F.3d at 307, n. 5 (Pet. App. 9a, n. 5).

SUMMARY OF ARGUMENT

1. In *Steel Co.* this Court determined that civil penalties payable to the United States Treasury did not redress the plaintiff's claim because the plaintiff did not make an allegation of continuing violation. Applying *Steel Co.*, the court of appeals here determined that plaintiffs' claim for civil penalties was moot absent a live claim for injunctive or declaratory relief because their injury could not be redressed by a civil penalty payable to the federal treasury. The court of appeals erred by applying this Court's analysis in *Steel Co.* to hold plaintiffs' claim for civil penalties moot where, unlike *in*

Steel Co., plaintiffs alleged and proved a continuing violation and the district court determined that the civil penalty imposed would deter Laidlaw from violating the Act in the future.

The court of appeals' application of *Steel Co.* created a direct conflict with this Court's decision in *Gwaltney*. *Gwaltney*, like this case, was a citizen suit under the Clean Water Act, where the plaintiffs alleged a continuing violation and the district court imposed a civil penalty but denied an injunction. As here, the denial of injunctive relief was not appealed. When *Gwaltney* reached this Court, the petitioner raised the same redressability argument adopted by the court of appeals here. This Court found standing in *Gwaltney* and, necessarily, determined that the case was not moot since, after discussing mootness generally, it proceeded to the non-constitutional issues. *Gwaltney* applies *a fortiori* here, since Laidlaw committed numerous post-complaint violations whereas in *Gwaltney* there were none. There is no indication, direct or implicit, in *Steel Co.* to suggest that it overruled *Gwaltney*.

The difference in the outcomes of *Steel Co.* and *Gwaltney*, is fully explicable based on the fact that there were no continuing violations alleged or proven in *Steel Co.* In addition, this Court has repeatedly held that there are sharply different standards for standing and mootness. A showing of mootness requires that it be "absolutely clear" that the illegal conduct "could not be reasonably expected to recur." *United States v. Concentrated Phosphate Export Ass'n*, 393 U.S. 199, 203 (1968). *See also Gwaltney*, 484 U.S. at 66. This difference is presumably based on the different functions of standing and mootness. Standing serves a gatekeeper function to prevent inappropriate cases from being litigated in the federal courts. Mootness serves to protect against the unwarranted dismissal of actions in which the parties and the courts have often invested substantial resources.

The court of appeals failed to consider the district court's

finding that the penalty imposed would deter Laidlaw's illegal conduct. Although the district court denied injunctive relief based on equitable considerations, it did not find that such relief was moot. It specifically found that the civil penalty it imposed would deter Laidlaw's illegal conduct. This determination is consistent with the conclusions of both this Court and Congress that civil penalties under the Clean Water Act deter future violations. Thus, the civil penalties in this case redress the harm to plaintiffs.

The court of appeals' decision undermines Congress' carefully-constructed program for citizen enforcement of environmental laws because it requires, as a matter of federal constitutional law, the dismissal of any citizen suit brought against a party that has violated a federal environmental law as long as that party comes into compliance prior to final judgment. In this case, even though Laidlaw had violated the Clean Water Act hundreds of times before the complaint was filed and continued to violate the Act afterwards, the court of appeals concluded that mootness compelled the lawsuit's dismissal. Without disputing the district court's findings that Laidlaw had enjoyed a large economic benefit through its violation of the Act, the court of appeals precluded the imposition of any civil penalty. The decision thereby creates perverse incentives that encourage violation of the Act and dilatory litigation practices. It also discourages citizens from bringing suit and playing the integral role in enforcement of the Act that Congress intended.

2. The court of appeals also erred in deciding that plaintiffs had not been awarded a declaratory judgment. In fact, a declaratory judgment had been awarded over Laidlaw's opposition and therefore, even under *Steel Co.* itself, this case was not moot.

3. The court of appeals also erred in deciding that, because this lawsuit was moot, plaintiffs were not entitled to an award

of attorneys' fees and expenses even though the suit acted as a catalyst for Laidlaw to come into compliance with the Clean Water Act. This Court recognized the "catalyst rule" in a series of cases, including *Gwaltney*. It did not overrule those decisions *sub silentio* in *Farrar v. Hobby*, 506 U.S. 103 (1992).

ARGUMENT

I. PLAINTIFFS' CLAIM FOR CIVIL PENALTIES AGAINST LAIDLAW IS NOT MOOT

The court of appeals stated that mootness is standing set in a later time frame. 149 F.3d at 306 (Pet. App. 6a). It assumed that plaintiffs' members had suffered injury-in-fact and that the injury was continuing at the time the complaint was filed. *Id.* at 306, n. 3 (Pet. App. 7a, n. 3). However, applying this Court's standing decision in *Steel Co.*, it found that the case was moot because plaintiffs could no longer satisfy the redressability prong of the standing test. 149 F.3d at 306 (Pet. App. 7a). It reasoned that "[b]ecause Plaintiffs have not appealed the denial of declaratory and injunctive relief,[8/] the only potential relief that may be available to redress their claimed injuries is the civil penalty imposed upon Laidlaw" and "[s]uch penalties * * * cannot redress any injury suffered by a citizen plaintiff." *Id.* at 306 (Pet. App. 7a).

The court of appeals erred in applying the redressability analysis regarding civil penalties from *Steel Co.*, a standing case that did not involve an allegation of ongoing violation which could be deterred by the imposition of civil penalties, to a case involving an allegation of ongoing violation and the actual continuation of violations that the district court determined could be deterred by civil penalties. As a result, the court of appeals' decision is in direct conflict with this Court's decision in *Gwaltney*, where, despite facts nearly identical to

8/ Declaratory relief was not denied. We address this error below. *See* pp. 41-42 below.

those here, this Court concluded that the case was not moot and that the plaintiffs had standing.9/

The assessment of mootness requires a "highly individualistic, and usually intuitive, appraisal of the facts of each case." 13A Charles Alan Wright *et al.*, *Federal Practice and Procedure* § 3533, at pp. 211-212 (2d ed. 1984). "The central question nonetheless is constant–whether decision of a once living dispute continues to be justified by a sufficient prospect that the decision will have an impact on the parties." *Id.*, p. 212.

As we show below, if the court of appeals had engaged in such an appraisal of the facts, it would have found that the district court determined that the civil penalty it imposed would deter Laidlaw from discharging excessive pollutants in violation of the Act. Civil penalties that deter Laidlaw from renewing its violations of the Act redress plaintiffs' interest in protecting the waterways that they use or refrain from using due to pollutants entering those waterways.

A. *Gwaltney*, Not *Steel Co.*, Is Controlling

1. *Gwaltney* and This Case Are Indistinguishable

Steel Co. involved a citizen suit under the Emergency Planning and Community Right to Know Act (EPCRA), 42 U.S.C. 11046(a)(1). In that case, the defendant brought itself into full compliance with the reporting requirements of EPCRA after receiving the plaintiff's notice of intent to sue -- or 60-day notice letter, as it is commonly known -- but prior to the filing of the complaint. 118 S. Ct. at 1009. As a result, the plaintiff was not able to allege a continuing violation in the complaint (*see id.* at 1020) and did not seek an injunction ordering the defendant to comply with EPCRA (*Citizens for a Better Env't*

9/ The only difference between *Gwaltney* and the present case is that Laidlaw had post-complaint violations whereas, in *Gwaltney*, the last violation was a month before the filing of the complaint. 484 U.S. at 53-54.

v. Steel Co., 42 Env't Rep. Cas. (BNA) 1186, 1189-1190 (N.D. Ill. 1995)).[10] It was because of the plaintiff's failure, indeed its inability, to allege a continuing violation or the likelihood of a continuing violation that this Court found that the plaintiff could not satisfy the redressability prong of the standing test. 118 S. Ct. at 1020. The Court specifically stated: "[b]ecause respondent alleges only past infractions of EPCRA, and not a continuing violation or the likelihood of a future violation, injunctive relief will not redress its injury." *Ibid.*

The Court examined each of the other forms of relief requested by the plaintiff to see if any of those forms of relief would serve to redress the plaintiff's injuries. 118 S. Ct. at 1018-1019. The Court concluded that none of the requested relief would remedy the injury suffered by the plaintiff. *Ibid.* With regard to the claim for civil penalties, which are payable to the United States Treasury, the Court reasoned (*ibid.*):

> In requesting [civil penalties], therefore, respondent seeks not remediation of its own injury – reimbursement for the costs it incurred as a result of the late filing – but vindication of the rule of law – the "undifferentiated public interest" in faithful execution of EPCRA.
>
> * * *
>
> By the mere bringing of his suit, *every* plaintiff demonstrates his belief that a favorable judgment will make him happier. But although a suitor may derive great comfort and joy from the fact that the United States Treasury is not cheated, that a wrongdoer gets his just desserts, or that the nation's laws are faithfully enforced, that psychic satisfaction is not an acceptable Article III remedy because it does not redress a cognizable Article

[10] A continuous violation, or an ongoing violation as it is sometimes called, means an ongoing violation at the time of the complaint. *Gwaltney*, 484 U.S. at 64-66.

> III injury. [emphasis in original; citations omitted]

Having concluded that none of the relief requested could redress plaintiff's injury, the Court vacated the judgment and remanded the case with instructions to dismiss the complaint. 118 S. Ct. 1020. The merits were never reached.

Gwaltney involved a citizen suit under the Clean Water Act, 33 U.S.C. 1251, *et seq.* Unlike the plaintiff in *Steel Co.*, the plaintiffs in *Gwaltney* alleged a continuing or ongoing violation of the Act. 484 U.S. at 54. In their complaint, they sought injunctive relief and civil penalties. *Ibid.*

In *Gwaltney*, the defendant's violations ceased a month before the complaint was filed. 484 U.S. at 53-54; *Chesapeake Bay Found. v. Gwaltney of Smithfield, Ltd.*, 890 F.2d 690, 692 (4th Cir. 1989)(full procedural history of the case detailed in remand decision). As a result, no injunctive relief was awarded by the district court. 890 F.2d at 692, n. 2. This ruling was not appealed to the Fourth Circuit (*see id.* at 692) and therefore was not before this Court. By the time that this Court issued its decision, there had been no violations for three and a half years. Consequently, the sole remaining claim was for civil penalties. This fact was specifically pointed out by the petitioner to this Court. Reply Br. for Pet'r at 16, *Gwaltney of Smithfield, Ltd. v. Chesapeake Bay Found.*, 484 U.S. 49 (1987) (No. 86-473)(Pet. App. 40a)(hereafter "*Gwaltney* Reply Br."). *See* 484 U.S. at 66. Moreover, the petitioner in *Gwaltney* made the identical redressability argument that the court of appeals adopted in the present case. *Gwaltney* Reply Br., pp. 15-18 (Pet. App. 39a-43a). Nonetheless, this Court specifically held that the plaintiffs had constitutional standing under Article III to seek imposition of civil penalties despite the fact that injunctive relief was no longer being sought[11] (484 U.S. at 64-66) and proceeded to the merits.

[11] *See also Steel Co.*, 118 S. Ct. at 1011 ("Article III standing was in any event found [in *Gwaltney*]").

All the facts in *Gwaltney* were plain and undisputed before this Court. The record was clear that the district court had issued no injunction against future violations, the plaintiffs had not appealed this ruling, and no violations had occurred for over three years by the time of this Court's decision. In addition, the petitioner had squarely raised the issues of constitutional standing and mootness before this Court. 484 U.S. at 65-66; *Gwaltney* Reply Br., pp. 15-18 (Pet. App. 39a-43a). Yet, neither this Court nor the Fourth Circuit, on remand, dismissed the case as moot. *See* 484 U.S. at 67; 890 F.2d at 696-697.

This Court emphasized in *Steel Co.* that its long-established practice is to insist on the determination of constitutional jurisdictional issues before dealing with the merits. 118 S. Ct. at 1012-1013. This proposition applies just as much to mootness as to standing. In a case decided well before *Gwaltney*, this Court stated (*United States v. Munsingwear, Inc.*, 340 U.S. 36, 39 (1950)):

> The established practice of [this] Court in dealing with a civil case from a court in the federal system which has become moot while on its way here or pending our decision on the merits is to reverse or vacate the judgment below and remand with a direction to dismiss.

It would therefore have been inconsistent with Article III of the Constitution and this Court's "established practice" for this Court to have ignored in *Gwaltney* a substantial jurisdictional problem that had been explicitly raised before it.

When this Court reached the statutory jurisdictional issue in *Gwaltney*, it necessarily decided that the case was not moot even though injunctive relief was no longer viable. Otherwise, *Gwaltney*, like *Steel Co.*, should have been vacated and remanded with instructions to dismiss. *See, e.g., Deakins v. Monaghan*, 484 U.S. 193, 204 (1988).

This Court's holding on the statutory jurisdictional issue in

Gwaltney further shows that injunctive relief is not a *sine qua non* to civil penalty relief in a citizen suit. This Court held that "citizens * * * may seek civil penalties only in a suit brought to *enjoin or otherwise abate an ongoing violation*" (emphasis added). 484 U.S. at 59. The emphasized language, which is stated in the disjunctive, shows that civil penalties are available in a citizen suit when injunctive relief is not. As we show below (pp. 24-40), civil penalties, as well as injunctive relief, abate ongoing violations -- which, under *Gwaltney*, 484 U.S. at 64-66, means the risk of further violations at the time of the complaint. Obviously, it would have been pointless for this Court to have reached this conclusion if such circumstances created a lack of jurisdiction under Article III. Since this Court found constitutional standing in *Gwaltney* and implicitly, but clearly, held that the case was not moot, it necessarily concluded in *Gwaltney* that injunctive relief is not essential for Article III jurisdiction in a citizen suit where ongoing violations are alleged and proved.

When this Court remanded *Gwaltney* to the Fourth Court for further consideration, it again necessarily determined that the case was not moot and therefore that the Fourth Circuit had jurisdiction.[12/] In response to the petitioner's mootness argument, which specifically raised the issue of redressability, this Court discussed the applicability of mootness to citizen suits under the Clean Water Act. 484 U.S. at 66-67. This Court did not find that the case was moot since, in the paragraph immediately following the discussion of mootness,

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[12/] Similarly, when the Fourth Circuit remanded *Gwaltney* to the district court for determination of whether the plaintiffs proved at trial that there was a reasonable likelihood of continuing or intermittent violations at the time they brought suit, it was necessarily holding that the case was not moot. 844 F.2d 170, 171 (1988). When the case returned to the Fourth Circuit after the remand, the Fourth Circuit expressly held that the case was not moot. 890 F.2d at 690.

it stated that it was remanding the case for a determination whether the complaint's allegation of continuing violations was made in good faith. 484 U.S. 67. There could be no possible reason for a remand if the case was moot because of the absence of injunctive relief.

This case is governed *a fortiori* by *Gwaltney*. In both cases, the defendant came into compliance with its permit before the district court issued its decision on the relief issues. *Gwaltney*, 890 F.2d at 692; *Laidlaw*, 956 F. Supp. at 611 (J.A. 183). As a result, in both cases, the district court did not issue an injunction. *Ibid.* Instead, in both cases, the district court imposed only a civil penalty. *Gwaltney*, 611 F. Supp. 1542, 1565 (E.D. Va. 1985); *Laidlaw*, 956 F. Supp. at 610 (J.A. 181). The only difference between the two cases is that here Laidlaw did not come into compliance until well after the complaint had been filed. *See* 956 F. Supp. at 611, 621 (J.A. 183, 195).

In neither *Gwaltney* nor *Laidlaw* did the defendant meet the heavy burden of showing that injunctive relief was moot. *See* pp. 32-33 below (discussion of burden). Indeed, Laidlaw did not even attempt to make such a showing. As discussed below, (pp. 31-35), the district court merely determined that an injunction was not warranted and that civil penalties would provide an ample deterrent against future violation. 956 F. Supp. at 610-611 (J.A. 182-183). Likewise, the district court in *Gwaltney* thought that the penalty that it assessed would have a deterrent effect on the defendant. 611 F. Supp. at 1564. The issue of injunctive relief in *Gwaltney* and here was eliminated from the case by virtue of its not having been awarded and no appeal of its denial being taken.

Thus, under *Gwaltney*, this case is not moot and it should be remanded to the lower court to decide the remaining issues.

2. *Steel Co.* Did Not Overrule *Gwaltney*

The court of appeals did not even address *Gwaltney*, despite its direct relevance to the court of appeals' mootness

determination.[13] Instead, it based its decision on *Steel Co.* The only basis for the court of appeals to have based its decision on *Steel Co.*, instead of *Gwaltney*, is if *Steel Co.* overruled *Gwaltney*.

There is no indication in *Steel Co.* that *Gwaltney* has been overruled. On the contrary, in *Steel Co.*, during its lengthy discussion of its long-standing practice to determine as a threshold matter that it has jurisdiction (118 S. Ct. at 1009-1016), the Court specifically cited *Gwaltney* as a case in which this practice had been followed (*id.* at 1011). In fact, in *Steel Co.*, the Court specifically reaffirmed that Article III standing was found in *Gwaltney*.[14] *Ibid.*

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[13] Plaintiffs relied heavily on *Gwaltney* throughout their brief on the *Steel Co.* issue in the Fourth Circuit. *See* Second Supplemental Br. for Appellants, April 24, 1998. Yet, the court of appeals did not even mention *Gwaltney*, except to reject it with a "but see" citation on the separate attorneys' fee issue. *See* 149 F.3d at 307, n. 5 (Pet. App. 9a, n. 5). Plaintiffs submit that this was not an oversight; *Gwaltney* simply cannot be squared with *Laidlaw*.

A district court has held that the decision in *Laidlaw* implicitly overturned the Fourth Circuit's prior decision in *Gwaltney*, 890 F.2d at 696-697, which held that "the mooting of a claim for injunctive relief does not moot a claim for CWA civil *penalties*" (emphasis added). *DuBois v. United States Dep't of Agric.*, 20 F. Supp. 2d 263, 268, n. 4 (D.N.H. 1998), appeal stayed pending this Court's decision in *Laidlaw* (No. 98-2364, 1st Cir., April 2, 1999). The court of appeals' decision in *Laidlaw* likewise implicitly overturned this Court's decision in *Gwaltney*.

[14] Justice Stevens' concurring opinion in *Steel Co.* suggests that standing may not have been decided in *Gwaltney*. 118 S. Ct. at 1025. This is directly contradicted by the statement in the Court's opinion in *Steel Co.* that standing was found in *Gwaltney*. *Id.* at 1011.

Moreover, as a matter of logic, standing had to have been found in *Gwaltney*. The majority opinion in *Steel Co.* requires that constitutional jurisdictional issues, such as standing, be decided before non-constitutional jurisdictional issues or the merits may be reached. 118 S. Ct. at 1012-1013. On the other hand, Justice Stevens, in his concurring opinion in *Steel Co.*, would allow statutory jurisdiction to be decided first where a decision on

In addition, there is nothing implicit in the *Steel Co.* decision that would suggest that *Gwaltney* was being overruled or limited. *Steel Co.* indicates that a citizen plaintiff has standing throughout a case regardless of whether the violations cease as long as the violations were continuing at the time of the complaint or at least that there was a risk that such violations were continuing at the time of the complaint. This Court stated twice that the outcome on standing in *Steel Co.* would have been different if the plaintiff had alleged a continuing violation (118 S. Ct. at 1019, 1020):

> The latter objective can of course be "remedial" for Article III purposes, when threatened injury is one of the gravamens [sic] of the complaint. *If respondent had alleged a continuing violation or the imminence of a future violation, the injunctive relief requested would*

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that issue could avoid a more difficult constitutional jurisdiction issue. *Id.* at 1021. However, Justice Stevens' approach can only apply if the court finds that the plaintiff loses on some other ground so that the constitutional issue of jurisdiction need not be reached.

This Court in *Gwaltney* did not dismiss the case on a statutory jurisdictional ground. On the contrary, it remanded the case to the Fourth Circuit (484 U.S. at 67) to determine a non-constitutional jurisdictional issue -- namely, whether the plaintiff had provided adequate proof that there was a risk of continuing violations at the time the complaint was filed. If, as the Fourth Circuit found (*Gwaltney*, 890 F.2d at 695), plaintiff had provided such proof, the case could proceed.

Therefore, this Court necessarily determined in *Gwaltney* that there was constitutional jurisdiction, including standing, under the approach of both the majority and Justice Stevens in *Steel Co.* For even under Justice Stevens' approach, if the resolution of the non-constitutional issue does not result in dismissal, the constitutional jurisdictional issues, such as standing and mootness, must be decided before the plaintiff can be allowed to continue its case. *See* 118 S. Ct. at 1023. Since this Court allowed the plaintiffs' case in *Gwaltney* to proceed, it had to have held that the plaintiffs had constitutional standing.

This same analysis applies equally to this Court's mootness determination in *Gwaltney*. *See* pp. 16-18 above.

> *remedy that alleged harm.* But there is no such allegation here--and on the facts of the case, there seems no basis for it.
>
> * * *
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> *Because respondent alleges only past infractions of EPRCA [sic], and not a continuing violation or the likelihood of a future violation, injunctive relief will not redress its injury.* [emphases added]

This language demonstrates that the determining factor in *Steel Co.* was the plaintiff's inability to make and prove an allegation of continuing violation at the time of the complaint. There was no reason for this Court to have been so focused on the timing of the complaint vis-a-vis the defendant's violations if it meant to hold that Article III requires continued violations through the point of final resolution of the case.

Justice Scalia's concurring opinion in *Gwaltney* strongly supports this reading of his subsequent opinion for the Court in *Steel Co.* In *Gwaltney*, a case where there was an allegation of continuing violation and no post-complaint violations, Justice Scalia predicted in his concurring opinion the outcome in a case like *Steel Co.* where there was no allegation of continuing violation. Justice Scalia stated in *Gwaltney* (484 U.S. at 70-71):

> While Gwaltney did not seek certiorari (or even appeal to the Court of Appeals) on the denial of its motion to dismiss for lack of standing, it did raise the standing issue before us here, see Reply Brief for Petitioner 17-18, and we in any event have an independent obligation to inquire into standing where it is doubtful, see *Bender v. Williamsport Area School Dist.*, 475 U.S. 534, 541 * * * (1986). If it is undisputed that the defendant was in a state of compliance when this suit was filed, the plaintiffs would have been suffering no remediable injury in fact that could support suit. The constitutional requirement

for such injury is reflected in the statute itself, which defines "citizen" as one who has "an interest which is or may be adversely affected."

Accordingly, even on the Court's theory of this case it seems to me that the remand should require the lower court to consider not just good-faith allegations of a state of violation but its actual existence. To be sure, nothing in the Court's opinion *precludes* such consideration of standing, but under sound practice the remand should *require* it. Of course that disposition would call attention to the fact that we have interpreted the statute to confer subject-matter jurisdiction over a class of cases in which, by the terms of the statute itself, there cannot possibly be standing to sue. [some citations omitted; emphases in original]

Reading Justice Scalia's two opinions together, there is no Article III standing in a case where no allegation of continuing violation can be made or the allegation is made but there is no proof of continuing violations, but there is Article III standing and continues to be standing in a case where the plaintiff proves continuing violations or the risk of continuing violations at the time of the complaint, even though the violations actually cease during the pendency of the case. Since this case falls into the latter category, due to Laidlaw's post-complaint violations, there is and continues to be Article III standing according to Justice Scalia's opinions in both *Gwaltney* and *Steel Co.*

The holding in *Steel Co.* is therefore limited to citizen suits where the plaintiff cannot and does not make an allegation of continuing violations. This reading of *Steel Co.* is necessary to avoid a conflict with *Gwaltney*. Here, plaintiffs alleged and proved continuing violations. Am. Compl., para. 24 (J.A. 38); 956 F. Supp. at 600 (J.A. 158). Thus, this case is controlled by *Gwaltney*, not *Steel Co.*

3. Contrary to the Decision Below, the Standards for Mootness and Standing Are Different

Even if the distinction between *Steel Co.* and *Gwaltney* was not the difference in the allegations regarding ongoing violation, the difference in their outcomes would still be fully explainable by the difference in the standards for standing and mootness. This Court has held that injunctive relief is moot only if the defendant can meet the heavy burden of showing that it is "*absolutely clear* that the allegedly wrongful behavior could not reasonably be expected to recur" (emphasis added). *Concentrated Phosphate*, 393 U.S. at 203. In *Steel Co.* itself, the Court emphasized the difference between initial standing and mootness (118 S. Ct. at 1019-1020):

> The United States, as *amicus curiae*, argues that the injunctive relief does constitute remediation because "there is a presumption of [future] injury when this defendant has voluntarily ceased its illegal activity in response to litigation," even if that occurs before a complaint is filed. * * * The "presumption" the Government refers to has been applied to refute the assertion of mootness by a defendant who, when sued in a complaint that alleges present or threatened injury, ceases the complained-of activity. See *e.g.*, *United States v. W.T. Grant Co.*, 345 U.S. 629 * * * (1953). It is an immense and unacceptable stretch to call the presumption into service as a substitute for the allegation of present or threatened injury upon which initial standing must be based. [alteration in original]

Although this Court did not explain in either *Gwaltney* or *Steel Co.* why standing and mootness are assessed differently for purposes of redressability, there are sound reasons for this distinction.

Standing serves a gatekeeping function. It serves to keep cases that are not justiciable out of the courthouse. Mootness,

on the other hand, does not serve the same gatekeeping function. By the time mootness is an issue, the case has been brought and litigated, often for years. This Court's holdings making it extremely difficult for a case to be dismissed as moot serve to protect the rights and resources of the parties and the courts.

Moreover, the wasting of time and resources could become a vicious circle if a case were easily dismissed due to the voluntary cessation of the illegal conduct. In such circumstances, defendants would be free to resume illegal conduct, cease such conduct during suit to avoid the consequences of the suit, resume the illegal conduct when the case was dismissed as moot, and so on. *See City of Mesquite v. Aladdin's Castle*, 455 U.S. 283, 289 (1982); *Concentrated Phosphate*, 393 U.S. at 203 ("Mere voluntary cessation of allegedly illegal conduct does not moot a case; if it did, the courts would be compelled to leave '[t]he defendant * * * free to return to his old ways'" (alteration in original)). Avoiding repetitious litigation serves the public interest and compels the stringent test this Court has adopted for mootness of injunctive relief. *Cf. W.T. Grant Co.*, 345 U.S. at 632.

In sum, the court of appeals' decision to apply *Steel Co.* to a mootness question was erroneous.

B. The Civil Penalties Imposed by the District Court Benefit Plaintiffs because They Deter Laidlaw from Violating its Permit and the Act

The court of appeals concluded that civil penalties could not support redressability on the ground that in *Steel Co.* this Court had found that "any civil penalties imposed would be payable to the United States Treasury and not to the plaintiff and therefore that the penalties would not benefit the plaintiff." 149 F.3d at 306 (Pet. App. 8a). However, this Court's conclusion in *Steel Co.* is in the context of a case where the plaintiff could not allege and prove an ongoing violation. Civil penalties,

even though paid to the United States Treasury, undoubtedly benefit a plaintiff who makes and proves an allegation of ongoing violation because they deter future illegal conduct by the defendant.

As we show below, the decisions of this Court make clear that civil penalties serve to deter a defendant's unlawful conduct, particularly under the Clean Water Act. In addition, the district court explicitly found that the civil penalty imposed here would deter Laidlaw from future violations.

1. Civil Penalties Deter Violations by the Defendant

This Court has determined that civil penalties under the Water Act deter defendants from future violations. *Tull v. United States*, 481 U.S. 412, 422-423 (1987); *Weinberger v. Romero-Barcelo*, 456 U.S. 305, 314 (1982).

Tull involved the issue of whether the Seventh Amendment right to a jury trial applied to the liability determination for alleged violations of the Clean Water Act and/or the penalty assessment for such violations. This Court analyzed Section 309(d) of the Act, 33 U.S.C. 1319(d), which governs the imposition of civil penalties under the Act, its purpose, its legislative history and other factors. In doing so, this Court stated that (481 U.S. at 422-423):

> A civil penalty was a type of remedy at common law that could only be enforced in courts of law. Remedies intended to punish culpable individuals, as opposed to those intended simply to extract compensation or restore the status quo, were issued by courts of law, not courts of equity. The action authorized by [33 U.S.C.] § 1319(d) is of this character. Subsection (d) does not direct that the "civil penalty" imposed be calculated solely on the basis of equitable determinations, such as the profits gained from violations of the statute, but simply imposes a maximum penalty of $10,000 per day of violation. *The legislative history of the Act reveals that Congress wanted*

> *the district court to consider the need for retribution and deterrence, in addition to restitution, when it imposed civil penalties.* A court can require retribution for wrongful conduct based on the seriousness of the violations, the number of prior violations, and the lack of good-faith efforts to comply with the relevant requirements. *It may also seek to deter future violations by basing the penalty on its economic impact.* [emphases added; citations and footnote omitted]

Thus, Congress intended penalties to create an economic incentive for the defendant to comply in the future.

In *Romero-Barcelo*, a citizen suit under the Clean Water Act, the district court found that the U.S. Navy was violating the Water Act by discharging ordnance into the sea without a permit. 456 U.S. at 307-308. It ordered the Navy to apply for the permit but refused to enjoin the weapons operations that resulted in the discharge. *Id.* at 309-310. The First Circuit reversed and directed the district court to enjoin all discharges until a permit was obtained, on the basis that the traditional balancing of the equities was inappropriate where there was a statutory duty to obtain a permit. *Id.* at 310-311. This Court reversed, holding that the traditional balancing test applied. *Id.* at 320. This Court reached this conclusion after determining that there was nothing in the statute or the legislative history to suggest that Congress intended to deny courts their traditional equitable discretion in issuing injunctions. *Id.* at 314-320. After stating that "[a]n injunction is not the only means of ensuring compliance,"it then cited penalties. *Id.* at 314. *See also Amoco Production Co. v. Village of Gambell, Alaska*, 480 U.S. 531, 544 (1987).[15/] Obviously, a penalty imposed in lieu

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[15/] Consistent with *Tull* and *Romero-Barcelo*, *Gwaltney* shows that civil penalties redress violations that continued subsequent to the filing of the complaint or even threatened to continue. Since civil penalties were the sole relief left in *Gwaltney* and this Court upheld the plaintiffs' continued

of an injunction is meant to deter the defendant from violating the Act.

Congress likewise has specifically concluded, in discussing civil penalties under the Water Act, that citizen suits "have deterred violators and achieved significant compliance gains." S. Rep. No. 50, 90th Cong., 1st Sess. 28 (1985).[16/] *See also* S. Rep. No. 228, 101st Cong.,1st Sess. 373 (1989)("[t]he assessment of civil penalties for violations of the [Clean Air] Act [is] necessary for deterrence, restitution and retribution").[17/]

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standing, this Court necessarily held that civil penalties can provide redressability for the threat of continuing violations when it reached the non-constitutional issue presented and then remanded the case to the court of appeals. *See* pp. 15-18 above.

[16/] Senate Report No. 50 is part of the legislative history of the 1987 amendments to the Water Act. It accompanied S. 1128. S. 1128 became the bill accepted by the conference committee. *See* H.R. Rep. No. 1004, 99th Cong., 2d Sess. (1986) (Conference Report to accompany S. 1128). S. 1128 was enacted by Congress in 1986 and vetoed by President Reagan on November 6, 1986. In the 100th Congress, S. 1128 was enacted as H.R. 1. 133 Cong. Rec. 1262 (1987) (H.R. 1 "is absolutely identical to the conference report on S. 1128"). H.R. 1 was not accompanied by any reports. 1987 U.S. Code Cong. & Ad. News 5 (readers are referred to Senate Report 50 and House Report 1004 from the 99th Congress).

[17/] In the 1990 amendments to the Clean Air Act, Congress recognized the impact that a lack of civil penalties would have on deterrence. Senator Chafee, one of the floor managers, stated during a debate on an amendment to restrict civil penalties in citizen suits that was defeated (136 Cong. Rec. 5627)(1990)):

> I do not understand the rationale for that provision. What the polluter does, he says: "Oh, that is right. I will straighten out." So he straightens it out. And since the citizen cannot collect for any past damages and the polluters stop, then there is no ground for a suit. He stops within the 60 days. Then what happens? The polluter starts polluting again, let us say somebody upstream, upwind. Then again the citizen has to go through this rigamarole, 60 days' notice; within the 60 days give notice. And the polluter says: "Oh, dear, I am sorry." We go through this charade possibly several times.

As this Court recognized in *Tigner v. Texas*, 310 U.S. 141, 149 (1940), the issue of deterrence and how it is to be effectuated are "matters within legislative competence." As with other congressional findings, Congress' determination as to the effect of civil penalties is entitled to substantial deference. *See, e.g., Preseault v. Interstate Commerce Comm'n*, 494 U.S. 1, 17 (1990)(holding that courts must defer to Congress' findings that regulated activities affect interstate commerce where a statute is challenged as an invalid exercise of congressional power under the Commerce Clause). Therefore, civil penalties, under the Clean Water Act, according to both this Court and Congress, provide redress for the harm. These conclusions are fully consistent with decisions of this Court and other federal courts that have repeatedly found that civil penalties deter the violation of a variety of federal statutes. *Hudson v. United States*, 118 S. Ct. 488, 494 (1997)("[A]ll civil penalties have some deterrent effect"); *Department of Revenue v. Kurth Ranch*, 511 U.S. 767, 778 (1994)("civil penalties * * * deter certain behavior"); *United States v. ITT Continental Baking Co.*, 420 U.S. 223, 231 (1975)(where "the detrimental effect to the public and the advantage to the violator [of ignoring the law] continue and increase over a period of time, and the violator could eliminate the effects of the violation if it were motivated to do so," accumulating daily penalties under the consent decree between the parties can provide the motivation and deter violations).

In *Bennett v. Spear*, 117 S. Ct. 1154 (1997), the Bureau of Reclamation informed the Fish and Wildlife Service (FWS) that operation of the project might affect several endangered species in violation of the Endangered Species Act (ESA). The FWS issued a biological opinion that identified alternatives designed to avoid jeopardy to the species, including the maintenance of minimum water levels in the water bodies

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involved in the project. *Ibid.* The Bureau notified the FWS that it intended to operate the project in compliance with the biological opinion. *Ibid.* The plaintiffs claimed that they were injured because the restrictions on water levels recommended by the FWS biological opinion would cause a reduction in the amount of irrigation water available to them. *Id.* at 1160. The plaintiffs brought suit against the FWS, rather than the Bureau, to have the biological opinion set aside. *Id.* at 1159-1160. Although the Bureau was not bound to adhere to the biological opinion and reduce the water levels, this Court found that the Bureau had a strong incentive to do so to avoid the penalties for "taking" an endangered species under the ESA. *Id.* at 1165. The "powerful coercive effect" of the biological opinion on the Bureau made it likely that the plaintiffs' injury from the threatened water level restrictions would be redressed if the biological opinion were set aside. *Ibid.* Accordingly, this Court found that the plaintiffs satisfied the redressability prong of the standing test.

Five courts of appeals have held that claims for penalties in citizen suits under the Clean Water Act are not moot even though claims for injunctive relief were no longer viable because the defendants had brought themselves into compliance with the Act on the ground that the civil penalties act as a deterrent to further violations by the defendants. *ASLF v. Stroh Die Casting Co.*, 116 F.3d 814, 820 (7th Cir. 1997), cert. denied, 118 S. Ct. 442 (1997); *NRDC v. Texaco Ref. and Mktg., Inc.*, 2 F.3d 493, 503-504 (3d Cir. 1993); *ASLF v. Pan Am. Tanning Corp.*, 993 F.2d 1017, 1020-1021 (2d Cir. 1993); *ASLF v. Tyson Foods, Inc.*, 897 F.2d 1128, 1135-1136 (11th Cir. 1990); *Pawtuxet Cove Marina, Inc. v. Ciba-Geigy Corp.*, 807 F.2d 1089, 1094 (1st Cir. 1986). *See also Comfort Lake Ass'n v. Dresel Contracting, Inc.*, 138 F.3d 351, 356 (8th Cir. 1998)(dictum); *Carr v. Alta Verde Indus., Inc.*, 931 F.2d 1055, 1065, n. 9 (5th Cir. 1991)(dictum). These cases are fully

consistent with this Court's decision in *Gwaltney*.[18]

The fact that civil penalties have a deterrent effect on violators hardly requires the citation of authority. This is a matter of common sense. Virtually all of our law is founded on the assumption that the imposition of penalties deters misconduct by the defendant. It is also a matter of common sense that any remedy that deters the defendant's misconduct benefits the plaintiff by protecting it from further misconduct.

The court of appeals failed to appreciate the deterrent value of civil penalties. Penalties deter violations in a way that injunctions never can. If a violator only faced the prospect of an injunctive order requiring compliance, it would have little incentive to comply before the issuance of the injunction. As this Court stated in *Albemarle Paper Co. v. Moody*, 422 U.S. 405, 417 (1975) "[i]f employers faced only the prospect of an injunctive order, they would have little incentive to shun practices of dubious legality" in the meantime. It is the "reasonably certain prospect" of a monetary penalty that "'provide[s] the spur or catalyst'" for compliance (alteration in original)(citation omitted).

This is precisely why Congress insisted that civil penalties imposed under the Clean Water Act remove the economic benefit derived from noncompliance. 33 U.S.C. 1319(d); *Tull*, 481 U.S. at 422-424. Otherwise, a violator stands to benefit from its noncompliance. If a violator benefits from its noncompliance, it is extremely likely to continue to violate.

[18] These cases remain good law after *Steel Co.* Each of these cases is distinguishable from *Steel Co.* on exactly the same basis as this case and *Gwaltney*. All of these cases involved allegations of ongoing or continuous violations; otherwise, the courts that decided them would have lacked subject matter jurisdiction under *Gwaltney*. Therefore, just as in this case, the decision in *Steel Co.* has no relevance to these earlier cases.

2. The District Court Found that Laidlaw Will Be Deterred by the Penalty Imposed

Injunctive relief against violators of the Clean Water Act is not automatic. *Romero-Barcelo*, 456 U.S. at 311. An injunction should issue only (*id.* at 312):

> [W]here the intervention of a court of equity "is essential in order effectually to protect property rights against injuries otherwise irremediable." The Court has repeatedly held that the basis for injunctive relief in the federal courts has always been irreparable injury and the inadequacy of legal remedies.
>
> Where [the parties] present competing claims of injury, the traditional function of equity has been to arrive at a "nice adjustment and reconciliation" between the competing claims. In such cases, the court "balances the conveniences of the parties and possible injuries to them according as they may be affected by the granting or withholding of the injunction." "The essence of equity jurisdiction has been the power of the Chancellor to do equity and to mould each decree to the necessities of the particular case. Flexibility rather than rigidity has distinguished it."
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> * * *
>
> The grant of jurisdiction to ensure compliance with a statute hardly suggests an absolute duty to do so under any and all circumstances, and a federal judge sitting as chancellor is not mechanically obligated to grant an injunction for every violation of law. [citations omitted]

Thus, if the defendant's unlawful conduct can be deterred through other means, an injunction is not necessary.[19] *Id.* at 312, 314.

[19] Civil penalties were among the other means for deterrence that the Court enumerated in *Romero-Barcelo*. *See* p. 26 above.

On the other hand, injunctive relief can become moot due to the voluntary cessation of the illegal conduct, only if the defendant proves that the unlawful conduct has ceased.[20] *Concentrated Phosphate*, 393 U.S. at 203. As this Court stated in *Gwaltney*, before a claim for injunctive relief can be adjudged moot (484 U.S. at 66):

> The defendant must demonstrate that it is "*absolutely clear* that the allegedly wrongful behavior could not reasonably be expected to recur." *United States v. Phosphate Export Assn., Inc.*, 393 U.S. 199, 203, 89 S.Ct. 361, 364, 21 L.Ed. 344 (1968). [emphasis added by the Court in *Gwaltney*]

Thus, there are numerous intermediate situations where neither injunctive relief nor dismissal of an injunctive relief claim based on mootness due to voluntary cessation is proper.

[20] "[M]ootness has two aspects: 'when the issues presented are no longer 'live' or the parties lack a legally cognizable interest in the outcome.'" *United States Parole Comm'n v. Geraghty*, 445 U.S. 388, 396 (1980)(quoting *Powell v. McCormack*, 395 U.S. 486, 496 (1969)). The first aspect involves the settlement of a claim, the lack of a timely appeal, a change in the law that gave basis to the suit or the defendant's voluntarily cessation of the alleged illegal conduct during the course of the litigation. *See* 13A Wright, *supra*, §§ 3533.2, 3533.5, 3533.6 and 3533.10. The other is what has been referred to as the "personal stake" aspect of mootness. *Geraghty*, 445 U.S. at 396. The "personal stake" aspect involves situations where the plaintiff no longer has a personal stake in the outcome of the litigation. For example, in *Geraghty*, 445 U.S. at 390, the plaintiff, who challenged the validity of the parole commission's release guidelines, was released from prison while his case was on appeal and, in *Arizonans for Official English v. Arizona*, 117 S.Ct. 1055, 1059 (1997), the plaintiff state employee challenged a state law requiring that state business be conducted in only the English language, but resigned from state employment during the course of the litigation.

The mootness aspect at issue in *Gwaltney* and in this case involve the first aspect, where the issues presented are no longer "live" due to the fact that the district court denied injunctive relief and the denial was not appealed.

See, e.g., Concentrated Phosphate, 393 U.S. at 203 (even though the defendant on remand might be able to show that injunctive relief was inappropriate, the case was not moot); *W.T. Grant*, 345 U.S. at 635-636 ("We conclude that, although the actions were not moot, no abuse of discretion has been demonstrated in the trial court's refusal to award injunctive relief"). This is such a case.

The district court made clear that, in denying injunctive relief, it was not finding that violations of the permit would not occur in the future. It specifically stated that "a defendant in substantial compliance with its NPDES permit is not required to show that there is no chance of a future permit violation in order to defeat a request for injunctive relief." 956 F. Supp. at 611 (J.A. 182-183). It further stated that "[t]aken together, this court believes the above penalty, potential fee awards, and Laidlaw's own direct and indirect litigation expenses provide adequate deterrence under the circumstances of this case." *Id.* at 611 (J.A. 182) Thus, the district court specifically found that the penalty it imposed would be a deterrent to possible future violations by Laidlaw.

The district court's conclusions are supported by the evidence. Laidlaw's discharge violations were due to an inadequate treatment system and its failure to control adequately its mercury feed rate, *i.e.*, the amount of mercury introduced into the incinerator at a given time. *See* 890 F. Supp at 478 (J.A. 92). The level of mercury in Laidlaw's discharge is a function of the amount of mercury that it processes in its incinerator. 1993 Tr., vol. V, p. 208; 1995 Tr. 100-101; Def. Exs. 54, 125, 144, 167, para. 10; Pl. Ex. 130, pp. 18, 39.[21] Consequently, Laidlaw's violations depended in significant part

[21] Defendant's Exhibits 54, 125, 144 and 167 were admitted into evidence at 1993 Tr., vol. I, p. 40. Plaintiffs' Exhibit 130 was admitted into evidence at 1995 Tr., p. 13.

on the changes Laidlaw made to its mercury feed rate.[22/] The district court found that the treatment equipment that Laidlaw ultimately installed was only effective "so long as Laidlaw severely restricted the feed rate of mercury-containing waste into the incinerator." 956 F. Supp. at 599 (J.A. 147).

The district court's conclusions are consistent with the well-established law that injunctive relief is an extraordinary remedy. It is not a remedy that issues as a matter of course. *See* pp. 31-31 above. Therefore, injunctive relief may well not be issued even when, as the district court found in this case, future violations are possible and civil penalties will deter

[22/] In December 1988, Laidlaw violated its permit 16 times. *See* Pl. Ex. 143. Shortly after these violations, in February 1989, defendant acknowledged that its "mercury removal ha[d] diminished to totally unacceptable levels." Def. Ex. 54. Defendant further acknowledged that the source of the problem was, in part, "an elevated mercury level in the waste blends" and that the solution was "blending to reduce mercury levels in the feedstock." *Ibid.* Thereafter, Laidlaw reduced the amount of mercury fed into the incinerator and the number of violations was reduced. *See* Pl. Ex. 126, p. 2, Pl. Exs. 131 and 132 (admitted into evidence at 1995 Tr., pp. 205, 13 and 184-191, respectively).

In April 1991, the number of pounds of mercury fed into the incinerator was increased. Pl. Ex. 126, figure 1; Pl. Ex. 131. *See* Def. Ex. 105. This increase was based on Laidlaw's desire to increase its sales by accepting waste with a higher mercury content after it installed the Lancy system. *See* Def. Ex. 105.

From April 1991 through January 1992, the number of mercury violations dramatically increased. *See* Pl. Ex. 143. Yet, not until January 1992, did Laidlaw
begin to lower the amount of mercury introduced into the incinerator. Pl. Ex. 126, figure 1. In spite of the reduction, between February and June 1992, the number of mercury violations per month remained extremely high. *See* Pl. Ex. 143.

In July 1992, the first full month after plaintiffs filed this suit, Laidlaw reduced its mercury feed rate significantly and the level of mercury violations per month dropped. *See* Pl. Ex. 126, figure 1; Pl. Ex. 143. In that month, Laidlaw also installed new carbon adsorption equipment. 890 F. Supp. at 483 (J.A. 104).

them.

The district court's conclusion that civil penalties would deter future violations is consistent with the presumption of future injury recognized by this Court when the defendant has voluntarily ceased its illegal conduct in response to litigation. Thus, this Court has held that "[i]t is the duty of the courts to beware of efforts to defeat injunctive relief by protestations of repentance and reform, especially when abandonment seems timed to anticipate suit, and there is probability of resumption." *United States v. Oregon State Med. Soc'y*, 343 U.S. 326, 333 (1952). *See also* pp. 32-33 above.

This Court stated in *Tigner*, 310 U.S. at 148, that "[j]udgment on the deterrent effect of the various weapons in the armory of the law can lay little claim to scientific basis. Such judgment as yet is largely a prophecy based on meager and uninterpreted experience." Absent an extraordinary showing that civil penalties could not possibly have a deterrent effect on the defendant, civil penalties should be presumed to have the deterrent effect on a defendant that this Court and Congress have found that they have. However, such a presumption is not needed here. The record shows that Laidlaw could return at anytime to the conduct that resulted in its earlier violations and that the imposition of civil penalties is likely to deter such conduct.

C. The Court of Appeals' Decision Seriously Undermines Congress' Purpose in Providing for Citizen Enforcement of the Act

The court of appeals' decision is not only legally erroneous, but also seriously undermines Congress' efforts to ensure effective enforcement of the Clean Water Act and other environmental statutes. The citizen suit provision in the Water Act is modeled on the citizen suit provision in the Clean Air Act Amendments of 1970. S. Rep. No. 414, *supra*, p. 79. The legislative history of the Clean Air Act shows that Congress

intended citizen suits to be a significant part of the rigorous enforcement of the Act. Senator Muskie, the sponsor of the legislation, stated during the Senate debate (116 Cong. Rec. 32927 (1970)):

> What we are seeking to establish is a nationwide policy. National ambient air standards implemented by plans developed at the State and local level create potentially enormous enforcement problems for State, local, and regional governments, as well as for the National Government. I think it is too much to presume that, however well staffed or well intentioned these enforcement agencies, they will be able to monitor the potential violations of the requirements contained in all the implementation plans that will be filed under this act, all the other requirements of the act, and the responses of the enforcement officers to their duties.
>
> Citizens can be a useful instrument for detecting violations and bringing them to the attention of the enforcement agencies and courts alike. So we have provided this restrictive citizen suit provision for that purpose. We took testimony on this subject. It was strongly supported by legal scholars and several organizations.

Senator Hart added (116 Cong. Rec. 33104 (1970)):

> The basic argument for the provision is plain: namely, that Government simply is not equipped to take court action against the numerous violations of legislation of this type which are likely to occur. In testifying on a similar bill before the Senate Subcommittee on Energy, Natural Resources and the Environment, former Attorney General Ramsey Clark spoke convincingly of this inevitable incapability. Mr. Clark stated:
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> "It will be impossible for government enforcement to

> control all significant acts of pollution .... The extension of private right, ... and effective sanctions for the persons directly affected or concerned will be essential if vital interests are to be protected. Our experience in areas of massive unlawful racial discrimination, such as in schooling, employment, and housing tells us that however hard it might try, government will never have the manpower, the techniques, or the awareness necessary to enforce the law for all. Private enforcement of those laws is the only way the individual can be assured that the rights cannot be violated with impunity.
>
> Pollution control is another such area. If we are really serious about controlling the quality of our environment before it destroys the quality of our lives, we must give the individuals affected by, or concerned about pollutions in his life, the power to stop them through legal process.
>
> Far from risking an undue or inhibiting interference with Government enforcement, it will provide powerful supplementary enforcement .... and an effective and desirable prod to officials to do their duty."

Every federal environmental statute enacted since that time has a citizen suit provision modeled on the Clean Air Act. *See, e.g.*, 33 U.S.C. 1365, 16 U.S.C. 1540(g), 42 U.S.C. 6972, 15 U.S.C. 2619, and 42 U.S.C. 9659. Congress' repeated enactment of citizen suit provisions shows that it relies on citizen enforcement as an integral part of enforcement of environmental laws. Moreover, Congress specifically commented on the success of the citizen suit provision of the Clean Water Act in enacting the 1987 amendments to the Act (S. Rep. No. 50, *supra*, p. 28):

> Citizen suits are a proven enforcement tool. They operate as Congress intended - to both spur and supplement to [sic] government enforcement actions. They have

> deterred violators and achieved significant compliance gains. In the past two years, the number of citizen suits to enforce NPDES permits has surged so that such suits now constitute a substantial portion of all enforcement actions filed in Federal court under this Act.

The court of appeals' decision eviscerates the citizen suit provision of the Water Act and creates perverse incentives that encourage violation of the Act and dilatory litigation practices. First, if civil penalties cannot be imposed for any violations as long as the defendant comes into compliance some time during the pendency of the case, the defendant has every incentive to continue its noncompliance. This allows the defendant to maximize the economic benefit it has enjoyed from its noncompliance. Only if a defendant knows that civil penalties are certain and significant will it hasten its compliance with the Act. Laidlaw's fear of substantial civil penalties in this case almost certainly affected its compliance efforts.

Second, citizen suits under the Water Act are vigorously litigated, as is the defendant's right. Therefore, citizen suits often take so long that there is time for the defendant to bring itself into full compliance years after the complaint is filed but before the case is finally resolved. If defendants know that the longer the litigation takes, the more chance they have of ultimately avoiding liability for civil penalties, they will be encouraged to take every possible action to extend the litigation. They are likely to delay responses to discovery, to file every possible motion seriatim, to appeal to the courts of appeals and seek certiorari in this Court. The result will almost certainly be to ensure that citizen suits take even more time, to make settlements extremely unlikely, to make the relationship between the parties more hostile and to burden the federal courts needlessly. Creating incentives for litigation delay is directly counter to Congress' intent that enforcement of the Water Act be "swift and direct." S. Rep. No. 414, *supra,* p. 65.

Third, these incentives for defendants to delay create strong disincentives for citizens to prosecute citizen suits at all. "Citizen plaintiffs often initiate suit not to recover monetary awards for their own benefit, but rather to ensure that penalties are imposed so as to deter future violations." *Pan Am. Tanning Corp.,* 993 F.2d at 1021. Citizens will be leery of investing years of time, effort and expense to litigate a case that, no matter how meritorious, can be dismissed at anytime with no consequence to the defendant. This is counter to "the obvious purpose of the * * * provision * * * [which] is to encourage enforcement by so-called 'private attorneys general' * * *." *Bennett v. Spear,* 117 S. Ct. at 1162 (addressing standing under the ESA citizen suit provision).

Fourth, in this case, mootness was not based on a determination by the district court that the claim was moot, but instead on the denial of injunctive relief and the plaintiffs' decision not to appeal the denial. If civil penalties are deemed moot based on whether an appeal of the denial of injunctive relief is taken, citizen plaintiffs would be compelled to appeal every denial of injunctive relief in order to keep their civil penalty claim alive.

Consequently, if the court of appeals' decision is allowed to stand, Congress' intent to create an effective alternative enforcement mechanism when the federal and state governments fail to act would be deeply undermined and citizens will no longer be able to protect their local water resources from dischargers who violate the Act.

As the Third Circuit explained in *Texaco,* 2 F.3d at 503-504, in holding that a civil penalty claim survived the mooting of an injunctive relief claim in a citizen suit:

> A citizen suit would lose much of its effectiveness if a defendant could avoid paying any penalties by post-complaint compliance. If penalty claims could be mooted, polluters would be encouraged to "delay

litigation as long as possible, knowing that they will thereby escape liability even for post-complaint violations, so long as violations have ceased at the time the suit comes to trial." Moreover, whether or not damage claims are mooted would depend on the vagaries of when the district court happens to set the case for trial. We cannot embrace a rule that would weaken the deterrent effect of the Act by diminishing incentives for citizens to sue and encourage dilatory tactics by defendants. [citations and footnotes omitted]

II. PLAINTIFFS' INJURIES ARE REDRESSED BY A DECLARATORY JUDGMENT WHERE LIABILITY WAS CONTESTED

This Court held in *Steel Co.* that a declaratory judgment as to liability does not support the redressability requirement of standing where the issue of liability was not contested (118 S. Ct. at 1018):

> There being no controversy over whether petitioner failed to file reports, or over whether such a failure constitutes a violation, the declaratory judgment is not only worthless to respondent, it is seemingly worthless to all the world.

Conversely, if liability is disputed, the plaintiff's injury is redressed by a determination that the defendant's practices are unlawful. *See Steel Co.*, 118 S. Ct. at 1018.

This Court has repeatedly found that even where a defendant has voluntary ceased an unlawful practice, a plaintiff's injury is redressed by a declaratory judgment establishing that the defendant's past practices were unlawful. *E.g., City of Mesquite*, 455 U.S. at 289; *Super Tire Eng'g Co. v. McCorkle*, 416 U.S. 115, 121-122 (1974); *Walling v. Helmerich & Payne, Inc.*, 323 U.S. 37, 42-43 (1944). If a claim for declaratory judgment were mooted by a showing of voluntary cessation, there is nothing to prevent the defendant from resuming its

unlawful conduct at the end of the litigation. *Ibid.* Here, the declaratory relief awarded to plaintiffs, like the civil penalties, serves to deter Laidlaw by informing it that its past practices were unlawful and may not legally be resumed.

The court of appeals stated that declaratory relief had been denied to plaintiffs. 149 F.3d at 306 (Pet. App. 7a). However, this conclusion is erroneous. The district court could not have imposed, and did not impose, civil penalties without first determining that defendant's actions violated the law.

Plaintiffs sought a declaratory judgment as to liability. Am. Compl., para. A (J.A. 39). Unlike the situation in *Steel Co.*, there was a controversy over Laidlaw's violation of the law.

In its answer, Laidlaw denied all of the allegations that it had violated the discharge, monitoring and reporting requirements of its permit. Am. Compl., para. 28 (J.A. 39)(para. 27 in the prior Am. Compl.); Answer, para. 26 (J.A. 49). When plaintiffs moved for partial summary judgment on all of Laidlaw's violations, Laidlaw opposed summary judgment on its mercury discharge violations on the ground that the permit was erroneous. Def.'s Resp. in Opp. to Pls.' Mot. for Partial Summ. Judgment, June 7, 1995, p. 3. Laidlaw also argued that "most of the alleged monitoring violations are incorrect" (*ibid.*) and that most of the reporting violations likewise did not occur (*id.*, p. 5).

At trial, Laidlaw continued to dispute all of its violations. 1995 Tr., p. 11. After trial, Laidlaw informed the district court that it no longer disputed the discharge violations, but that it continued to dispute most of the monitoring and reporting violations. Def.'s Proposed Findings of Fact and Conclusions of Law, October 13, 1995, pp. 12-15; Def.'s Modified Proposed Findings of Fact and Conclusions of Law, March 29, 1996, pp. 21-24. Thus, defendant did not concede its mercury discharge violations until plaintiffs fully presented their case to the district court after three years of litigation and never conceded

its monitoring and reporting violations.

Contrary to the conclusion of the court of appeals (149 F.3d at 306 (Pet. App. 7a)), the district court issued a declaratory judgment. It determined that Laidlaw was liable for 489 discharge, 420 monitoring, and 503 reporting violations. 956 F. Supp. at 610, 613-621 (J.A. 158-159, 185-196). This determination was far from worthless; it determined that defendant had engaged in repeated, flagrant and long-standing violation of federal law. Such a decision serves to deter Laidlaw from engaging in such practices in the future even though it discontinued them during the course of the litigation. Anything that deters a defendant's violation of the Act benefits the plaintiffs, and therefore, redresses plaintiffs' injury.

Thus, the decision of the court of appeals is in conflict with *Steel Co.*, even if *Steel Co.* fully applies to the issue of mootness, where the plaintiffs alleged continuing violations and the violations continued after the complaint was filed.

III. PLAINTIFFS WOULD BE ENTITLED TO ATTORNEYS' FEES AND EXPENSES EVEN IF THE CASE WERE MOOT

Section 505(d) of the Water Act, 33 U.S.C. 1365(d), provides that "[t]he court, in issuing any final order in any action brought pursuant to this section, may award costs of litigation (including reasonable attorney and expert witness fees) to any prevailing or substantially prevailing party, whenever the court determines such award is appropriate." The court of appeals held that "[p]laintiffs' failure to obtain relief on the merits of their claims precludes any recovery of attorneys' fees or other litigation costs because such an award is available only to a 'prevailing or substantially prevailing party'" (citation omitted). 149 F.3d at 307, n. 5 (Pet. App. 9a, n. 5). The court reached that conclusion even though it recognized that defendant had come into compliance with its permit. *Id.* at 305 (Pet. App. 5a-6a). The court relied on this Court's decision in

Farrar v. Hobby, 506 U.S. 103 (1992), and its own decision in *S-1 and S-2 v. State Board of Education*, 21 F.3d 49 (1994) (*en banc*). 149 F.3d at 307, n. 5 (Pet. App. 9a, n. 5).

In *Farrar*, this Court considered the issue of "whether a civil rights plaintiff who receives a nominal damages award is a 'prevailing party' eligible to receive attorney's fees under 42 U.S.C. § 1988." 506 U.S. at 105. The Court explained that, "to qualify as a prevailing party, a civil rights plaintiff must obtain at least some relief on the merits of his claim." *Id.* at 111. The Court found that an award of nominal damages was sufficient to make the plaintiff a prevailing party because "[a] judgment for damages in any amount, whether compensatory or nominal, modifies the defendant's behavior for the plaintiff's benefit by forcing the defendant to pay an amount of money he otherwise would not pay." *Id.* at 113.[23]

In the course of reaching its conclusion, the Court stated that, in order to prevail for the purpose of obtaining fees, the "plaintiff must obtain an enforceable judgment against the defendant from whom fees are sought or comparable relief through a consent decree or settlement" (citations omitted). 506 U.S. at 111. Based on that statement and other references in *Farrar* to judgments and settlements, the Court of Appeals for the Fourth Circuit held in *S-1 and S-2* that *Farrar* had overruled the "catalyst theory," *i.e.*, the theory that a plaintiff prevails when "a lawsuit * * * operate[s] as a catalyst for post-litigation changes in a defendant's conduct * * *." 21 F.3d at 51. *See also S-1 and S-2 v. State Bd. of Educ.*, 6 F.3d 160, 168 (4th Cir. 1993) (dissenting opinion subsequently adopted by majority in *en banc* decision, 21 F.3d at 51).

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[23] The Court went on to explain that a prevailing party is only entitled to reasonable fees. 506 U.S. at 115. It upheld the denial of fees to the plaintiff because "[w]hen a plaintiff recovers only nominal damages because of his failure to prove an essential element of his claim for monetary relief, the only reasonable fee is usually no fee at all" (citation omitted). *Ibid.*

The catalyst rule was recognized by this Court in several decisions prior to *Farrar*. In *Hanrahan v. Hampton*, 446 U.S. 754, 756-757 (1980), the Court held that civil rights plaintiffs who had prevailed on appeal and thereby won the right to a new trial but had not yet received any relief from the district court were not "prevailing parties" under 42 U.S.C. 1988[25] for the purpose of obtaining attorneys' fees. However, the Court reviewed the legislative history of 42 U.S.C. 1988 and explained that "a person may in some circumstances be a 'prevailing party' without having obtained a favorable 'final judgment following a full trial on the merits'" (quoting H.R. Rep. No. 1558, 94th Cong., 2d Sess. 7 (1976), and citing S. Rep. No. 1011, 94th Cong., 2d Sess. 5 (1976)). 446 U.S. at 756-757. It relied on the House and Senate Reports, which stated that "parties may be considered to have prevailed when they vindicate rights through a consent judgment *or without formally obtaining relief*" (emphasis added). *Id.* at 757.[26]

The Court further articulated the catalyst rule in *Maher v. Gagne*, 448 U.S. 122 (1980). The question presented there was "whether fees may be assessed * * * after a case has been settled by the entry of a consent decree, without any determination that the plaintiff's constitutional rights have been violated." *Id.* at 124. The Court resolved the issue with little discussion, holding that "[t]he fact that respondent prevailed

[25] In *Pennsylvania v. Delaware Valley Citizens' Council for Clean Air*, 478 U.S. 546, 559-560 (1986), the Court stated that the principles to be followed in awarding attorneys' fees and expenses are the same for environmental and civil rights cases.

[26] The House Report also stated (H.R. Rep. No. 1558, *supra*, p. 7):

> Similarly, after a complaint is filed a defendant might voluntarily cease the unlawful practice. A court might still award fees even though it might conclude, as a matter of equity that no formal relief, such as an injunction, is needed.

through a settlement rather than through litigation does not weaken her claim to fees." *Id.* at 129. The Court again relied on the Senate Report's "express[] state[ment]" that fees are available when parties "vindicate rights through a consent judgment or without formally obtaining relief." *Ibid.*

In *Hewitt v. Helms*, 482 U.S. 755, 759-760 (1987), the Court issued its clearest statement of the catalyst rule. It reversed an award of attorney's fees to a plaintiff inmate who received no damages, injunctive relief, or declaratory judgment. However, it emphasized that (*id.* at 760-761):

> It is settled law, of course, that relief need not be judicially decreed in order to justify a fee award under § 1988. A lawsuit sometimes produces voluntary action by the defendant that affords the plaintiff all or some of the relief he sought through a judgment - *e.g.*, * * * a change in conduct that redresses the plaintiff's grievances. When that occurs, the plaintiff is deemed to have prevailed despite the absence of a formal judgment in his favor. See *Maher*, *supra*, 448 U.S., at 129 * * *.

The Court explained that the lower court's holding that the plaintiff's disciplinary proceeding was unconstitutional was insufficient because that finding had not "*affect[ed] the behavior of the defendant towards the plaintiff*" (emphasis in original). 482 U.S. at 761. In contrast, if "the defendant, under the pressure of the lawsuit, pays over a money claim before the judicial judgment is pronounced" or "alters his conduct (or threatened conduct) towards the plaintiff that was the basis for the suit." then "the plaintiff will have prevailed." *Ibid.*

Finally, in *Gwaltney*, the Court stated (484 U.S. at 67, n. 6):

> The legislative history of [33 U.S.C. 1365(d)] states explicitly that the award of costs "should extend to plaintiffs in actions which result in successful abatement but do not reach a verdict. For instance, if as a result of a citizen proceeding and before a verdict is issued, a

> defendant abated a violation, the court may award litigation expenses borne by the plaintiffs in prosecuting such actions." [S. Rep. No. 414, *supra*, p. 81].[27]

Thus, prior to *Farrar*, the Court had stated that it was "settled law" that a plaintiff has prevailed for purposes of fees when, in the absence of a court order or a settlement, a voluntary change in a defendant's conduct as a result of a lawsuit has redressed the plaintiff's grievances. *Hewitt*, 482 U.S. at 760-761. The Court also made clear that a change in conduct includes abatement of a Clean Water Act violation. *Gwaltney*, 484 U.S. at 67, n. 6.

Nonetheless, the court of appeals held below that *Farrar* had overruled the catalyst rule. It reached that conclusion even though *Farrar* did not state that it was overruling the catalyst rule and even though *Farrar* cited *Hewitt* and *Maher v. Gagne*

27/ The court of appeals implicitly, but clearly, admitted that its decision on attorneys' fees below was inconsistent with *Gwaltney*. It did so by prefacing its citation to *Gwaltney* with "*But see*." 149 F.3d at 307, n. 5 (Pet. App. 9a). Such a citation to an opinion of this Court by a court of appeals is, to say the least, unusual. The court of appeals' only explanation for doing so was to note that *Gwaltney* discussed the prior language of Section 505(d) of the Act, which authorized a court to award fees to any "party," rather than the language of the 1987 amendment to Section 505(d), which added "prevailing or substantially prevailing" before "party." *Ibid.*

The legislative history of the 1987 amendment to Section 505(d) shows that the change in the language of Section 505(d) was intended merely to clarify Congress' intent that citizen plaintiffs not receive attorneys' fee awards when the plaintiffs had lost the litigation. S. Rep. No. 50, *supra*, p. 33; S. Rep. No. 233, 98th Cong., 1st Sess. 24-25 (1983); A Legislative History of the Water Quality Act of 1987, 100th Cong., 2d Sess., Sen. Print 144 (Nov. 1988), vol. 2, pp. 1311-1312 (remarks of Senator Chafee, the sponsor of the legislation). Since the "prevailing party" language is precisely the language interpreted by the Court in *Hanrahan v. Hampton*, *Maher v. Gagne*, and *Hewitt v. Helms*, the addition of that language cannot possibly mean that the catalyst rule no longer applies to fee awards under Section 505(d).

without indicating any disagreement with them. 506 U.S. at 110-111. As the Court of Appeals for the Seventh Circuit stated in *Zinn by Blankenship v. Shalala*, 35 F.3d 273, 276 (1994), it is "implausible that the Supreme Court meant to abolish a rule employed by nearly every circuit and previously recognized by the Court itself as 'settled law,' without expressly indicating that it was doing so."

In *Farrar*, the Court stated that "to qualify as a prevailing party, a civil rights plaintiff must obtain at least some relief on the merits of his claim." 506 U.S. at 111. It stated further that, in order to prevail for the purpose of obtaining fees, "the plaintiff must obtain an enforceable judgment against the defendant from whom such fees are sought or comparable relief through a consent decree or settlement" (citations omitted). *Ibid.* The Fourth Circuit found that *Farrar* overruled the catalyst rule because it did not add *or voluntary action by the defendant* at the end of that sentence. *S-1 and S-2*, 6 F.3d at 168 (dissenting opinion adopted by majority *en banc*).

However, *Farrar* was not addressing the situation where a defendant had voluntarily changed its behavior in response to a lawsuit. Instead, it was discussing the nature of the relief that a plaintiff must receive in order to be a prevailing party for fees purposes. The Court stated (506 U.S. at 111):

> Whatever relief the plaintiff secures must directly benefit him at the time of the judgment or settlement. * * * Otherwise the judgment or settlement cannot be said to "affect the behavior of the defendant toward the plaintiff." [citation omitted]

When, as here, a defendant modifies its behavior in response to a lawsuit, the lawsuit has "affected the behavior of the defendant toward the plaintiff." Indeed, the Court has made clear that it is not a judgment itself that confers prevailing party status but a change in behavior by the defendant. In *Hewitt*, the Court stated that "[a]t the end of the rainbow lies not a

judgment, but some action (or cessation of action) by the defendant that the judgment produces--the payment of damages, or some specific performance, or the termination of some conduct." 482 U.S. at 761. In *Rhodes v. Stewart*, 488 U.S. 1, 4 (1988), the Court held that a party who wins a declaratory judgment prevails for fees purposes only if the judgment "affects the behavior of the defendant toward the plaintiff." Thus, the *sine qua non* of prevailing party status is not a judgment but a change in behavior by the defendant brought on by the lawsuit.

Plaintiffs here achieved exactly that. The fact that the relief plaintiffs obtained was vacated is irrelevant. This conclusion is particularly clear in this case since the vacation of the judgment occurred precisely because the suit had been successful in obtaining Laidlaw's compliance with the statute.

Ten other Circuits have found, either explicitly or implicitly, that the catalyst rule was not overturned by *Farrar*. *Maduka v. Meissner*, 114 F.3d 1240, 1241 (D.C. Cir. 1997); *Marbley v. Bane*, 57 F.3d 224, 234 (2d Cir. 1995)("*Farrar* does not eviscerate the long-standing doctrine that a plaintiff who has obtained at least some part of what he sought in bringing the suit may be considered a prevailing party"); *Kilgour v. City of Pasadena*, 53 F.3d 1007, 1010 (9th Cir. 1995)("*Farrar* does not preclude a catalyst test"); Zinn, 35 F.3d at 274-276 (quoted at p. 47 above); *Beard v. Teska*, 31 F.3d 942, 951-952 (10th Cir. 1994)("we * * * have not agreed [that *Farrar* rendered the catalyst theory nonviable]"); *Baumgartner v. Harrisburg Housing Auth.*, 21 F.3d 541, 546-550 (3d Cir. 1994)("We believe it is not likely that the Supreme Court [in *Farrar*] would overturn such a wide-spread theory without even mentioning it, particularly when it was inapplicable to the case at hand"); *Little Rock Sch. Dist. v. Pulaski County Special Sch. Dist.*, #1, 17 F.3d 260, 262-263 and n. 2 (8th Cir. 1994)("We decline to extend *Farrar*'s language beyond its context of

determining prevailing party status after a final determination on the merits"); *American Council of the Blind v. Romer*, 992 F.2d 249, 250-251 (10th Cir. 1993)("It does not appear that the decision in *Farrar* condemns the use of the 'catalyst rule' in a nonjudgment on the merits situation"); *Craig v. Gregg County, Texas*, 988 F.2d 18, 20-21 (5th Cir. 1993)("A more precise reading of *Farrar*, however, might suggest that a party may prevail, even in the absence of a judgment, consent decree, or direct personal benefit 'if its ends are accomplished as a result of the litigation'" (citation omitted)); *Paris v. HUD*, 988 F.2d 236, 240-241 (1st Cir. 1993); *Citizens Against Tax Waste v. Westerville City Sch.*, 985 F.2d 255, 257-258 (6th Cir. 1993).

The fees provision of the Clean Water Act was intended by Congress to induce attorneys to bring these cases: "[t]he Courts should recognize that in bringing legitimate actions under this section citizens would be performing a public service and in such instances, the courts should award costs of litigation to such party. S. Rep. No. 414, *supra*, p. 81. *See also SPIRG v. AT&T Bell Lab.*, 842 F.2d 1436, 1449 (3d Cir. 1988). The decision of the court below deeply undermines this inducement. It means that, even when the litigation is fully successful, it will often result in no compensation to the plaintiff's attorney. Such a result is not only obviously unfair but directly contrary to Congress' intent.

Indeed, the court of appeals' position would have a serious impact not only on citizen suits under environmental statutes but also civil right suits and other suits brought under fees-shifting statutes. As this case illustrates, enforcement suits under the Clean Water Act and other environmental statutes are major, complex litigation requiring a substantial commitment of time by attorneys and expert witnesses. The same is true of civil right suits. Since individual and non-profit organizational plaintiffs rarely have such resources, most such suits are brought by attorneys who will be compensated solely by fee

awards against the defendant if the suits are successful. Few lawyers would be willing to bear large costs in the form of expert witness' fees and their own uncompensated time only to find that the suit has led the defendant to comply with the statute and therefore, for this very reason, the case must be dismissed without any award of attorneys' fees or expenses. Attorneys who practice under fee-shifting statutes take on the risk of not being paid when they lose. It is unlikely that they will be able to bear the additional risk of not being paid even when they are fully successful.

In short, the decision below is contrary to decisions of this Court recognizing the catalyst rule, the decisions of ten other circuits holding that the catalyst rule survived *Farrar*, congressional intent, and sound public policy. As a result, it should be reversed.[28]

CONCLUSION

It is respectfully submitted that the decision of the court of appeals be reversed and the case be remanded for consideration of the issues presented in the parties' appeals to that court.

Respectfully submitted,
Bruce J. Terris
Carolyn Smith Pravlik
Monica Wagner
James S. Chandler, Jr.

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[28] The ruling on fees should be reversed even if this Court also reverses the ruling on mootness. As a result of its decision on mootness, the court of appeals did not rule on Laidlaw's arguments regarding standing and diligent prosecution by the State. *See* 149 F.3d at 305, 307 (Pet. App. 5a, 9a). If plaintiffs are successful on mootness but ultimately lose based on Laidlaw's other arguments, the court of appeals' decision on fees will preclude reimbursement of these fees. Since the attorneys' fees issue will have been fully briefed and argued, it would be an appropriate exercise of the Court's discretion to decide the issue. *See Bennett v. Spear*, 117 S. Ct. at 1163.

APPENDIX

Article III of the Constitution of the United States

* * *

Section. 2. The judicial Power shall extend to all Cases, in Law and Equity, arising under this Constitution, the Laws of the United States, and Treaties made, or which shall be made, under their Authority;—to all Cases affecting Ambassadors, other public Ministers and Consuls;—to all Cases of admiralty and maritime Jurisdiction;—to Controversies to which the United States shall be a Party;—to Controversies between two or more States;—between a State and Citizens of another State;—between citizens of different States;—between Citizens of the same State claiming Lands under Grants of different States, and between a State, or the Citizens thereof, and foreign States, Citizens or Subjects.

In all Cases affecting Ambassadors, other public Ministers and Consuls, and those in which a State shall be Party, the supreme Court shall have original Jurisdiction. In all the other Cases before mentioned, the supreme Court shall have appellate Jurisdiction, both as to Law and Fact, with such Exceptions, and under such Regulations as the Congress shall make.

The Trial of all Crimes, except in Cases of Impeachment, shall be by Jury; and such Trial shall be held in the State where the said Crimes shall have been committed; but when not committed within any State, the Trial shall be at such Place or Places as the Congress may by Law have directed.

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